

July 16, 2026 01:57 PM GMT

Hygon Information Technology Co., Ltd. | Asia Pacific

2Q26 preliminary earnings beat, OW

Reaction to earnings

|                                          |                                                              |                                                                             |
|------------------------------------------|--------------------------------------------------------------|-----------------------------------------------------------------------------|
| <b>Unchanged</b><br>Impact to our thesis | <b>↑ Modest upside</b><br>Financial results versus consensus | <b>↑ Modest revision higher</b><br>Direction of next 12-month consensus EPS |
|------------------------------------------|--------------------------------------------------------------|-----------------------------------------------------------------------------|

Source: Company data, Morgan Stanley Research

Key Takeaways

- The results reinforce our positive view that Hygon is emerging as one of the primary beneficiaries of China’s rapidly expanding AI computing demand...
- ...alongside structurally low domestic self-sufficiency in both CPUs and AI GPUs.

2Q26 net profit 8% higher than our estimate:

- 2Q26 revenue rose to Rmb4.9bn, up 21% QoQ, up 59% YoY, largely in line with our estimate. The company attributed the strong revenue growth to strong AI demand, including AI agents, localization drive, and product performance upgrade.
- 2Q26 net profit was Rmb1.1bn, up 57% QoQ and up 55% YoY, 8% ahead of our estimate.
- 2Q26 recurring profit was Rmb1.0bn, up 69% QoQ and 57% YoY, suggesting stronger underlying earnings momentum in 2Q26 than reported net profit alone.

**Reiterate OW:** P/S is 23x for 2027e, lower than its peer average of 30x.

|                                |                  |
|--------------------------------|------------------|
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Hygon Information Technology Co., Ltd. (688041.SS, 688041 CH)

Greater China Technology Semiconductors | China

|                                 |                   |
|---------------------------------|-------------------|
| <b>Stock Rating</b>             | <b>Overweight</b> |
| <b>Industry View</b>            | <b>Attractive</b> |
| Price target                    | Rmb480.00         |
| Up/downside to price target (%) | 50                |
| Shr price, close (Jul 16, 2026) | Rmb320.40         |
| 52-Week Range                   | Rmb395.17-134.85  |
| Mkt cap, curr (mn)              | Rmb744,717.9      |
| Avg daily trading value (mn)    | Rmb8,008          |

| Fiscal Year Ending         | 12/25    | 12/26e   | 12/27e   | 12/28e   |
|----------------------------|----------|----------|----------|----------|
| EPS (Rmb)**                | 1.10     | 2.02     | 3.31     | 5.30     |
| EPS (Rmb)§                 | 1.35     | 1.98     | 3.01     | 4.29     |
| Revenue, net (Rmb mn)      | 14,376.9 | 22,419.7 | 32,906.0 | 45,341.8 |
| EBITDA (Rmb mn)            | 5,103.7  | 7,431.0  | 10,877.4 | 15,953.3 |
| ModelWare net inc (Rmb mn) | 2,544.9  | 4,694.7  | 7,702.8  | 12,307.6 |
| P/E                        | 204.6    | 158.6    | 96.7     | 60.5     |
| ROE (%)                    | 12.6     | 20.9     | 29.1     | 37.3     |

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework  
\*\* = Based on consensus methodology  
§ = Consensus data is provided by Refinitiv Estimates  
e = Morgan Stanley Research estimates

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## Valuation Methodology and Risks

### Hygon Information Technology Co., Ltd. (688041.SS)

We assume an 8.0% cost of equity (beta 1.05, risk-free rate 2.0% and risk premium 5.8%), a payout ratio of 50%, a medium-term growth rate of 25.0%, and a terminal growth rate of 5.0%, all of which are in line with other China AI chip companies under our coverage.

#### Risks to Upside

- Hygon further differentiates itself from local CPU and GPU competitors and gains significant market share in China's CPU and GPU markets
- China AI demand is stronger than expected
- Faster ramp-up of leading node capacity

#### Risks to Downside

- Intensified pricing competition among local GPU companies
- China AI demand is weaker than expected
- Slower yield improvement and capacity buildout at local leading node foundries

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(as of June 30, 2026)

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| Stock Rating<br>Category | Coverage Universe |            | Investment Banking Clients (IBC) |                |                         | Other Material Investment Services<br>Clients (MISC) |                          |
|--------------------------|-------------------|------------|----------------------------------|----------------|-------------------------|------------------------------------------------------|--------------------------|
|                          | Count             | % of Total | Count                            | % of Total IBC | % of Rating<br>Category | Count                                                | % of Total Other<br>MISC |
| Overweight/Buy           | 1544              | 42%        | 453                              | 49%            | 29%                     | 757                                                  | 44%                      |
| Equal-weight/Hold        | 1577              | 43%        | 390                              | 42%            | 25%                     | 769                                                  | 44%                      |
| Not-Rated/Hold           | 3                 | 0%         | 1                                | 0%             | 33%                     | 1                                                    | 0%                       |
| Underweight/Sell         | 544               | 15%        | 89                               | 10%            | 16%                     | 204                                                  | 12%                      |
| Total                    | 3,668             |            | 933                              |                |                         | 1731                                                 |                          |

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## Stock Price, Price Target and Rating History (See Rating Definitions)

Hygon Information Technology Co., Ltd. (688041.SS) - As of 07/16/26 GMT in CNY  
Industry : Greater China Technology Semiconductors



Stock Rating History: 7/3/26 : O/A

Price Target History: 7/3/26 : 480

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

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## INDUSTRY COVERAGE: Greater China Technology Semiconductors

| COMPANY (TICKER)                                     | RATING (AS OF) | PRICE* (07/16/2026) |
|------------------------------------------------------|----------------|---------------------|
| <b>Charlie Chan</b>                                  |                |                     |
| ACM Research Inc (ACMR.O)                            | O (03/07/2023) | US\$91.96           |
| Advanced Micro-Fabrication Equipment Inc (688012.SS) | O (11/06/2023) | Rmb361.42           |
| Advanced Wireless Semiconductor Co (8086.TWO)        | U (07/14/2025) | NT\$127.00          |
| Alchip Technologies Ltd (3661.TW)                    | O (05/14/2021) | NT\$3,770.00        |
| ASE Technology Holding Co. Ltd. (3711.TW)            | O (09/15/2024) | NT\$682.00          |
| Cambricon Technology Corporation (688256.SS)         | O (04/27/2026) | Rmb1,279.22         |
| Global Unichip Corp (3443.TW)                        | O (06/24/2026) | NT\$4,185.00        |
| GlobalWafers Co Ltd (6488.TWO)                       | E (05/19/2026) | NT\$1,370.00        |
| Gudeng Precision (3680.TWO)                          | O (11/25/2025) | NT\$516.00          |
| Hua Hong Semiconductor Ltd (1347.HK)                 | E (03/12/2026) | HK\$157.40          |
| Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)     | O (04/27/2026) | HK\$556.50          |
| King Yuan Electronics Co Ltd (2449.TW)               | O (03/03/2023) | NT\$318.00          |
| Maxscend Microelectronics Co Ltd (300782.SZ)         | U (01/11/2021) | Rmb83.25            |
| MediaTek (2454.TW)                                   | O (11/28/2025) | NT\$3,700.00        |
| MetaX Integrated Circuits (688802.SS)                | E (04/27/2026) | Rmb890.00           |
| Nanya Technology Corp. (2408.TW)                     | O (05/28/2026) | NT\$439.00          |
| NAURA Technology Group Co Ltd (002371.SZ)            | O (11/06/2023) | Rmb702.76           |
| OmniVision Integrated Circuits Group Inc (603501.SS) | E (11/17/2025) | Rmb109.85           |
| Phison Electronics Corp (8299.TWO)                   | E (02/25/2026) | NT\$1,980.00        |
| SG Micro Corp. (300661.SZ)                           | E (11/03/2025) | Rmb107.32           |
| Silergy Corp. (6415.TW)                              | U (05/19/2026) | NT\$473.00          |
| SMIC (0981.HK)                                       | O (10/21/2025) | HK\$75.20           |
| TSMC (2330.TW)                                       | O (02/07/2022) | NT\$2,470.00        |
| UMC (2303.TW)                                        | O (05/19/2026) | NT\$160.00          |
| Vanguard International Semiconductor (5347.TWO)      | E (01/14/2026) | NT\$187.50          |
| WIN Semiconductors Corp (3105.TWO)                   | U (07/14/2025) | NT\$369.00          |
| <b>Daisy Dai, CFA</b>                                |                |                     |
| ASMP Ltd (0522.HK)                                   | O (07/24/2025) | HK\$177.50          |
| China Resources Microelectronics Limited (688396.SS) | U (03/02/2026) | Rmb65.50            |

|                                                      |                |               |
|------------------------------------------------------|----------------|---------------|
| Empyrean Technology Co Ltd (301269.SZ)               | E (01/17/2025) | Rmb106.21     |
| Hangzhou Silan Microelectronics Co. Ltd. (600460.SS) | U (08/25/2025) | Rmb36.22      |
| Hygon Information Technology Co., Ltd. (688041.SS)   | O (07/03/2026) | Rmb320.40     |
| Innoscence (2577.HK)                                 | E (10/13/2025) | HK\$48.00     |
| JCET Group Co Ltd (600584.SS)                        | E (01/16/2026) | Rmb83.21      |
| Shanghai Fudan Microelectronics (1385.HK)            | O (03/07/2025) | HK\$28.10     |
| SICC Co Ltd (688234.SS)                              | O (03/20/2026) | Rmb120.24     |
| StarPower Semiconductor Ltd (603290.SS)              | E (05/14/2026) | Rmb97.93      |
| Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)  | U (01/10/2023) | Rmb70.16      |
| Universal Scientific Ind. (Shanghai) (601231.SS)     | O (11/05/2025) | Rmb26.10      |
| Yangjie Technology (300373.SZ)                       | O (06/10/2022) | Rmb101.70     |
| <b>Daniel Yen, CFA</b>                               |                |               |
| AP Memory Technology Corp (6531.TW)                  | O (07/11/2025) | NT\$909.00    |
| ASMedia Technology Inc (5269.TW)                     | U (10/03/2025) | NT\$1,515.00  |
| Aspeed Technology (5274.TWO)                         | O (06/09/2025) | NT\$13,905.00 |
| Egis Technology Inc (6462.TWO)                       | E (01/28/2026) | NT\$101.50    |
| Elan Microelectronics Corp (2458.TW)                 | O (10/03/2025) | NT\$175.50    |
| Espressif Systems (688018.SS)                        | O (05/15/2023) | Rmb120.61     |
| GigaDevice Semiconductor Beijing Inc (603986.SS)     | O (05/15/2025) | Rmb514.61     |
| Macronix International Co Ltd (2337.TW)              | O (09/18/2025) | NT\$136.50    |
| Montage Technology Co Ltd (6809.HK)                  | O (03/18/2026) | HK\$278.60    |
| Montage Technology Co Ltd (688008.SS)                | O (03/18/2026) | Rmb211.13     |
| Novatek (3034.TW)                                    | U (02/04/2026) | NT\$471.50    |
| Nuvoton Technology Corporation (4919.TW)             | U (11/10/2025) | NT\$156.50    |
| Parade Technologies Ltd (4966.TWO)                   | O (05/27/2026) | NT\$631.00    |
| Powerchip Semiconductor Manufacturing Co (6770.TW)   | O (10/27/2025) | NT\$76.50     |
| Realtek Semiconductor (2379.TW)                      | E (01/30/2026) | NT\$712.00    |
| Shenzhen Goodix Technology Co Ltd (603160.SS)        | U (07/14/2025) | Rmb54.83      |
| Winbond Electronics Corp (2344.TW)                   | O (05/28/2026) | NT\$172.00    |
| WPG Holdings (3702.TW)                               | O (03/16/2026) | NT\$113.50    |
| WT Microelectronics Co. Ltd. (3036.TW)               | O (01/27/2026) | NT\$196.00    |
| <b>Duan Liu</b>                                      |                |               |
| Dosilicon Co Ltd (688110.SS)                         | U (09/06/2024) | Rmb136.50     |
| Shenzhen Longsys Electronics Co Ltd (301308.SZ)      | E (02/25/2026) | Rmb463.59     |
| <b>Tiffany Yeh</b>                                   |                |               |
| AllRing Tech Co. (6187.TWO)                          | O (09/23/2025) | NT\$1,075.00  |
| FOCI Fiber Optic Communications Inc (3363.TWO)       | O (01/15/2025) | NT\$555.00    |
| Himax Technologies Inc (HIMX.O)                      | E (02/04/2026) | US\$13.92     |
| Hon Precision (7769.TW)                              | O (04/17/2026) | NT\$6,695.00  |
| MPI Corporation (6223.TWO)                           | O (04/17/2026) | NT\$6,220.00  |
| Silicon Motion (SIMO.O)                              | O (05/06/2024) | US\$293.40    |
| WinWay Technology Co Ltd (6515.TW)                   | O (04/17/2026) | NT\$6,735.00  |

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\* Historical prices are not split adjusted.